BCCA
CULTIVATE. COMPETE. CONQUER

CMA FINAL – Paper 13

Section B – Economic Laws & Regulations

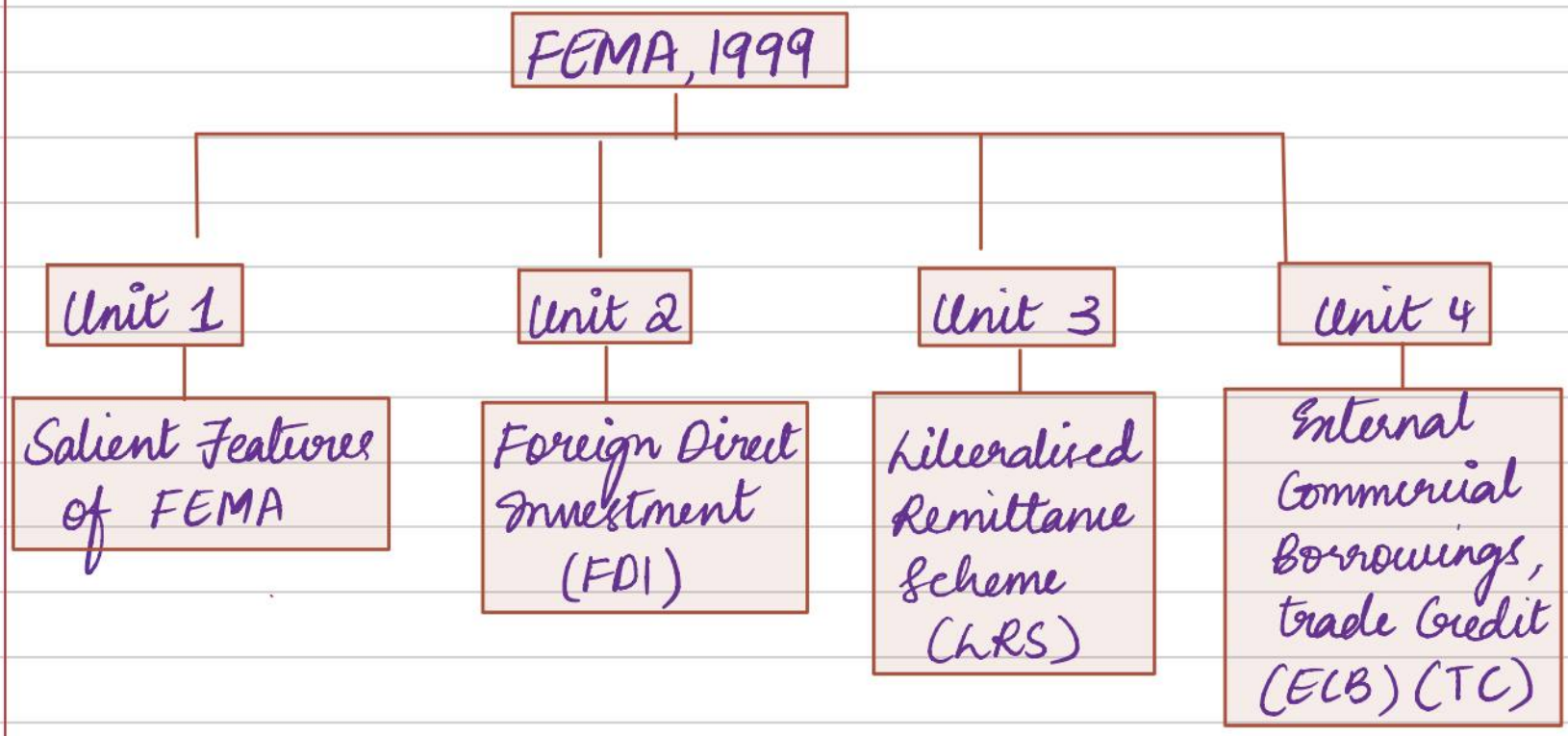
Chapter 3

Foreign Exchange Management Act, 1999

Colour Hand Written Notes

By CMA Bhavya

Content Chart



Evolution of FEMA, 1999

1939
Defence of India

- Temporary foreign exchange rules
- Restricts all the transactions for War

Aim – utilize the Reserve for War

1947 March
Foreign Exchange Regulation Act, 1947

- British govt. before Independence
- Restricts all the forex transactions unless specifically allowed

Aim – proper utilization of low Reserve

1973
Foreign Exchange Regulation Act, 1973

- Indian govt.
- All the transactions were Restricted → more stringent rules

Aim – Optimal use of Reserves for essential purposes

1991
LPG Policy

- PV Narasimha Rao
- Opened the Economy for International Trade

1997
Tarapore Committee for framing the FEMA, 1999

1999
Foreign Exchange Management Act, 1999

- Promotes external trade
- free flow of forex payments
- ease of doing business

Structure of FEMA, 1999

1. **Main Act** — Supreme legislation — Parliament of India
   - 7 Chapters - 49 sections
   - primary laws
2. **Rules** — Delegated legislation — Ministry of Finance
   - 5 set of rules u/s 46
   - provides guidelines to implement main act
3. **Regulations** — Subordinate legislation — Reserve Bank of India
   - 23 set of rules u/s 47
   - provides guidelines to implement Rules with Main Act
4. **Master Directions/Circulars**
   - issued by RBI every year.
5. **FDI Policy**
   - issued by DIPP
6. **Notifications & Circulars**
   - issued by RBI
7. **Enforcement Directorate (ED)**
   - ensures people comply with FEMA rules & Regulations
   - looks into complaints & violations
   - imposes penalties for any violations

Section 1

- Short title
  - Foreign Exchange Management Act, 1999
- Extent & Applicability
  - extends to "Whole of India"
  - Applies to
    - all Branches, offices & Agencies outside India
      - owned or controlled by PRI
    - Any violation committed outside India
      - by a person to whom FEMA Applies.
- Commencement
  - came into force on 1st June, 2000

Section-2 - Definitions

Section 2(n) **Foreign Exchange** means foreign currency and includes

- deposits, credits & balances payable in any FCY
- drafts, Traveller's Cheques, LOC, BOE
  - drawn in INR payable in FCY
  - drawn by PROI payable in INR

Authorized Person

- **Authorized Dealer**
  - Authorized by RBI to
    - buy & sell FCY
    - facilitate FCY transactions
- **Money Changer**
  - Authorized by RBI to
    - just convert INR to FCY
- **Off-shore Banking unit**
  - Banks setup in SEZs
    - for ease of doing business
      - → increase exports
      - → facilitate foreign investment.

2(o) **Foreign Security**

- Shares, Stocks, bonds, debentures, other instruments
  - expressed in FCY
  - redemption or income is payable in INR.

FDI

- Foreign Direct Investment
- Foreign Institutional Investor
- Foreign Portfolio Investor
- Foreign Venture Capital Investor

FDI → Investment in Business.

FII → Mutual funds, Pension funds, Insurance Co's

FPI → Individuals, Institutions

FII, FPI → Registered in accordance with SEBI Regulations

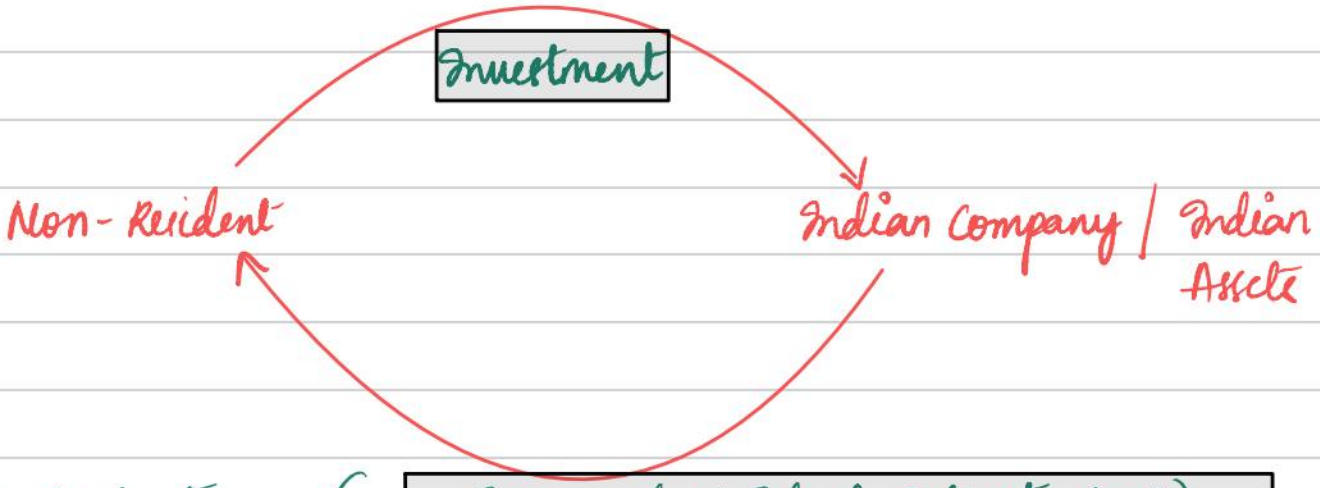
FII, FPI → Investment in financial markets: Stocks & Bonds

FVCI → Investment made in start-ups in India.

Foreign Currency Convertible Bonds (FCCBs)

- Bonds (debt instruments)
  - issued by Indian companies in foreign currency
    - to Non-Residents
      - Principal + Interest is payable in foreign currency
- Later on, they could be converted to Equity shares

Investment in Repatriable Basis



taken back to their Home Country without any Restrictions

- Income (Dividend, Interest, Rent)
- Capital appreciation
- Sale proceeds

Non-Repatriable Basis – Money cannot be utilized outside India

- use it for
  - expenses
  - investments in India

Person of Indian Origin (PIO)

Citizen of any Country (other than Pakistan & Bangladesh)

- held Indian passport at any time
- has parents or grand parents who were Indian citizens
- is the spouse of Indian citizen or PIO.

2014 Dec | 2015 Dec

Person — Person Resident in India

- Individual (a) — Person Resident in India (PRI) | Person Resident outside India (PROI)
- HUF
- Company
- firm
- AOP
- BOI
- AJP

office, Branch or Agency controlled by above.

During relevant previous year did he reside in India for more than 182 days

Yes

Did he go out or stay outside India during the CY ?

- Yes → for 3 purposes ?
  - Yes → PROI
  - No → PRI
- No → PRI

No

Did he come or stay in India during the CY?

- Yes → for 3 purposes ?
  - Yes → PRI
  - No → PROI
- No → PROI

Three Reasons

1) for or on taking up **Employment**

2) for carrying on **business** or **Vocation**

3) for any reason that shows his intention to stay for an **uncertain period**

(b) Any person or body corporate
↓
Registered or incorporated in India

(c)

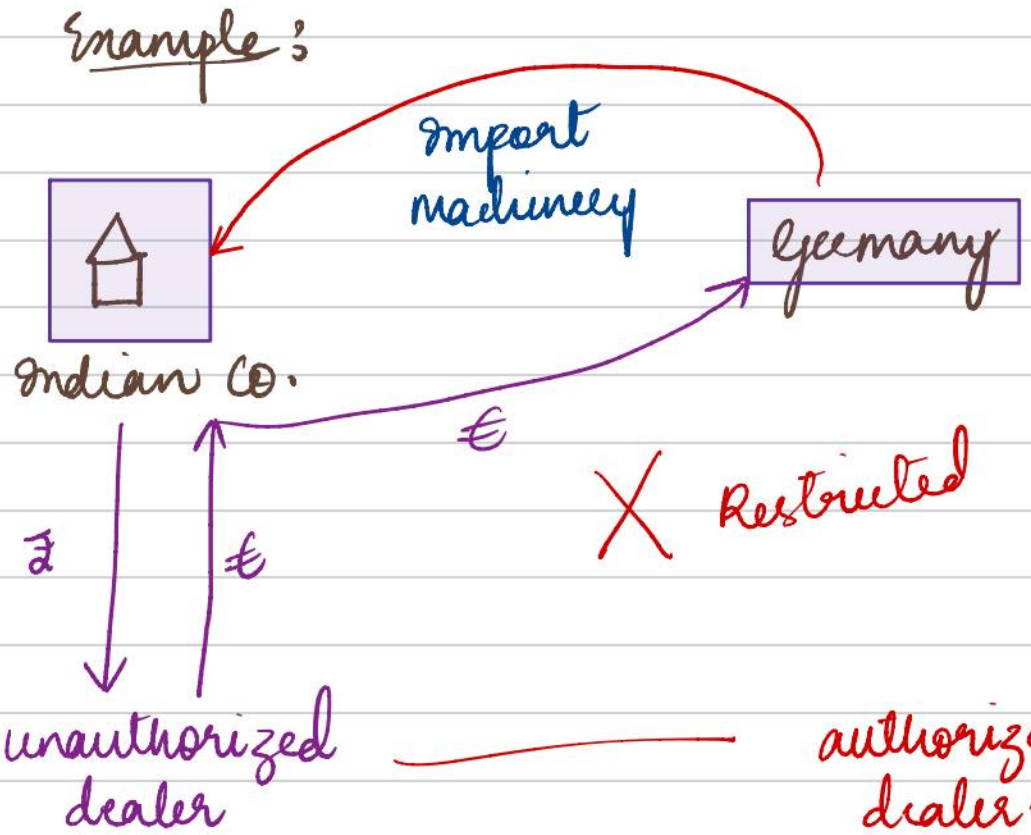
PRI	An office, branch or agency	
location	in India	outside India
owned & controlled by	PRO1	PRI

Section - 3

Restriction in dealing in foreign exchange

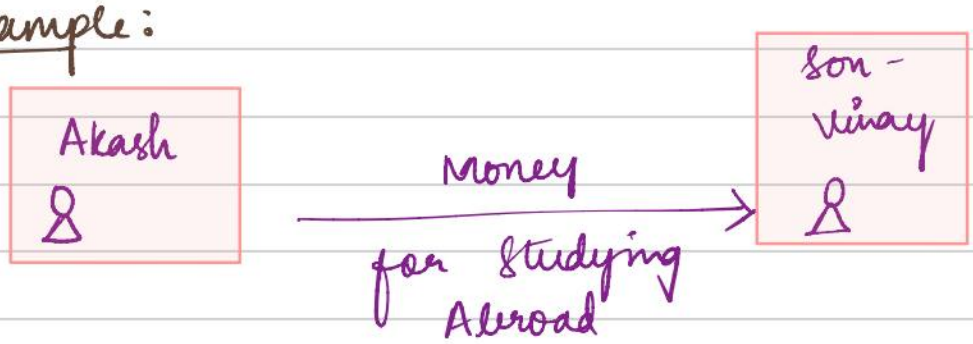
1) You cannot trade or give FCY or transfer foreign investment to anyone.

Example:



2) Not allowed to send money to a non-resident

Example:

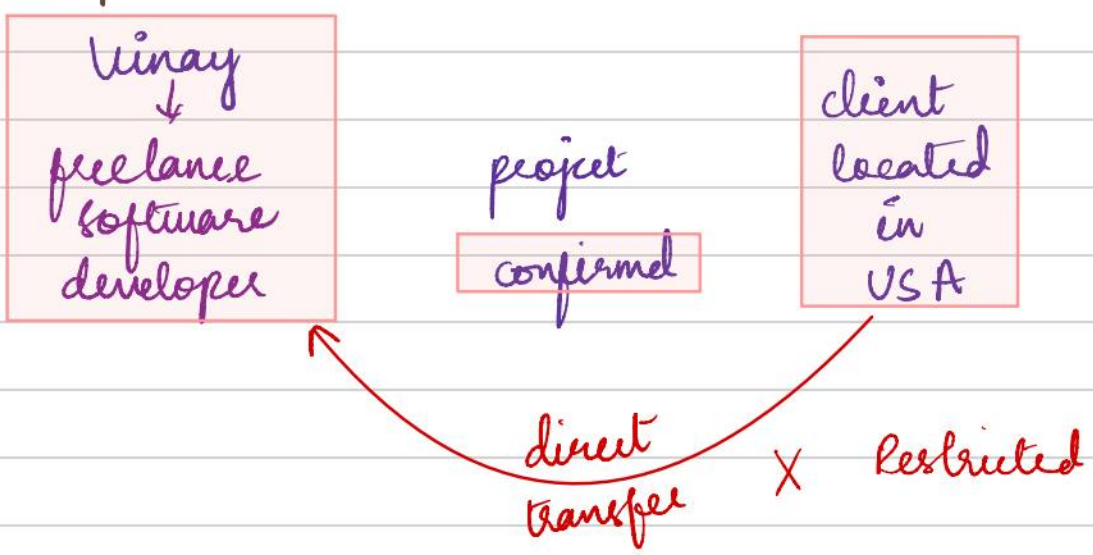


directly — ✗ Restricted

through authorized Banks / Dealers — ✓ Permitted

3) Not allowed to receive money from someone living outside India

Example:



4) You cannot engage in any financial deals → in India

if those deals are related to

- buying
- investing

→ assets → outside India

Example:

Asha

↓

Business

↓

expand and acquire a "factory" in Vietnam

Vietnam "owner"

project → Indian Banks

loan

Section - 4

Restriction in Holding of foreign exchange.

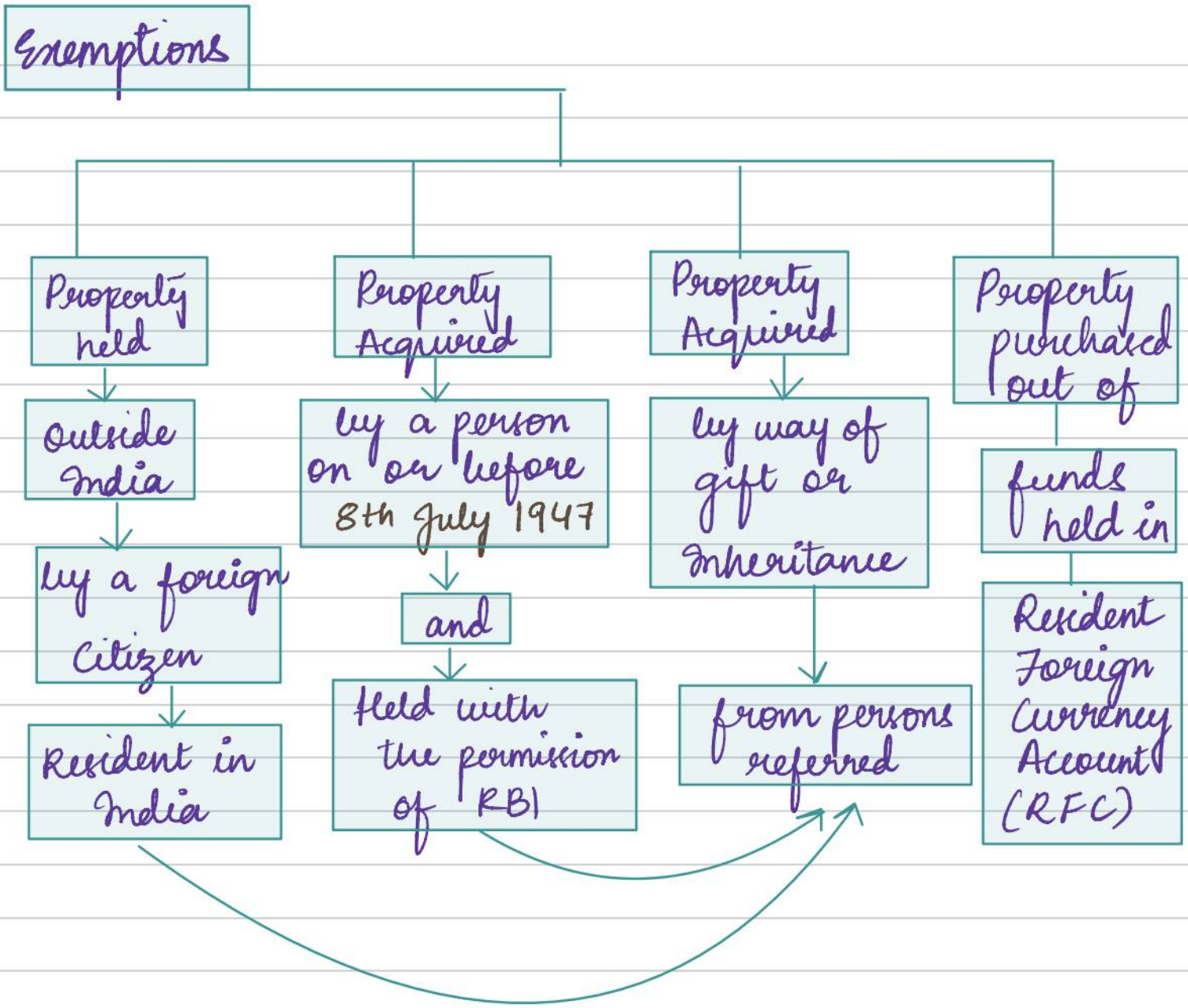
General Restriction

No Indian Resident is allowed to

→ acquire, hold, own, possess or transfer

- foreign Exchange
- foreign security
- immovable property located outside India.

unless it falls under certain exemptions provided under.



section - 5 — Current Account Transactions

Meaning — Involves

- payment for goods & services
- Interest payments
- Remittances

Every day transactions that do not effect the Assets and Liabilities of a Country

Foreign Exchange Management (Current Account Transactions) Rules, 2000

Schedule I

Completely prohibited

Not allowed at any circumstance

Example:

- Lottery winnings
- Racing
- proscribed Magazines

Schedule II

Required Approval from RBI

Example:

- Cultural tours
- Advertisement in foreign print media

Schedule III

have an upper limit on the amount of foreign exchange that can be used

Example:

upto USD 2,50,000

- medical
- studies
- tours

Transaction Not listed above ? — permitted without any limits

Section 6 — Capital Account transactions

Meaning

changes in ownership of Assets & liabilities

like Investments, loans, transfer of ownership of Assets.

Involves

General Permission

Any person can → buy or sell → foreign exchange → from an authorized person → for → Capital Account transactions

RBI's Role

RBI with Central Govt. → decides → which Capital Account transactions shall be

- allowed
- restricted
- set limits on the Amount of foreign exchange

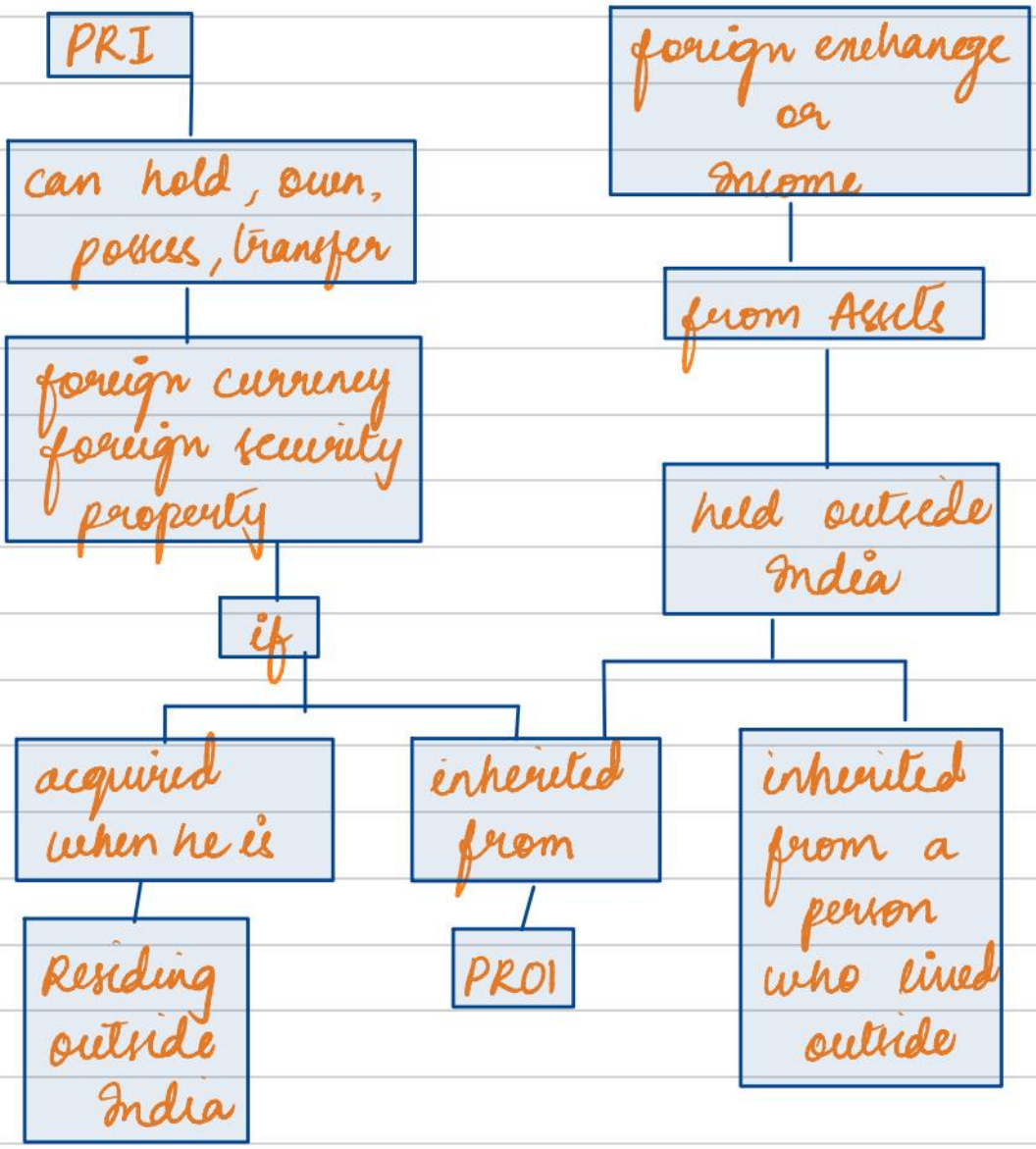
But

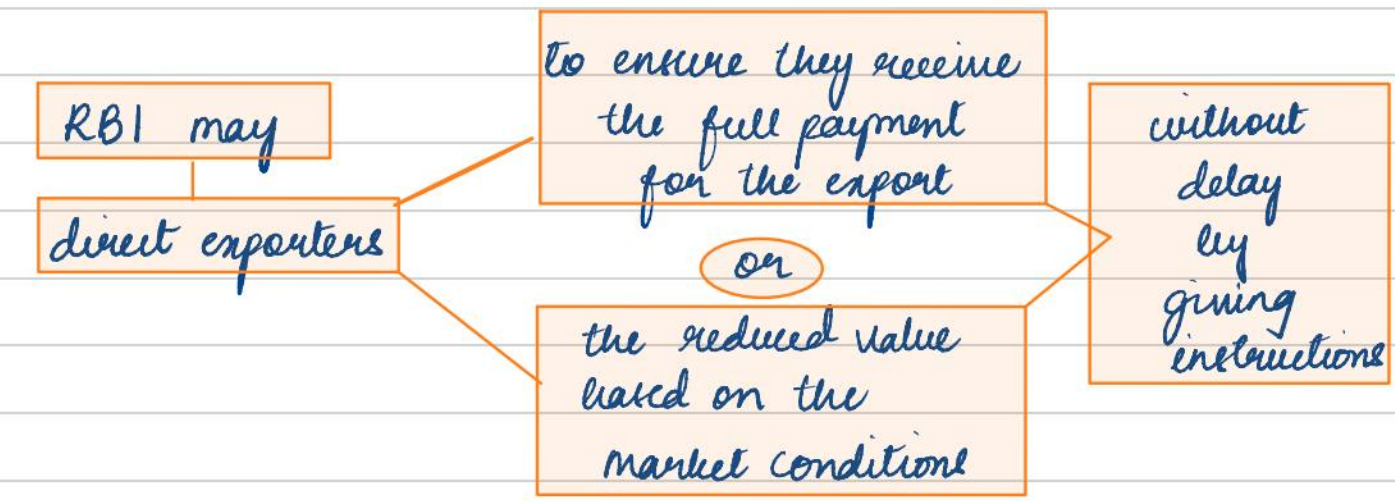
RBI Cannot impose restrictions on foreign exchange for

- Loan Repayment
- Depreciation of Asset

in Regular business activities

Additional Provisions







Possession and Retention of foreign exchange

Authorized persons
- can hold foreign currency
  - within the limits specified by RBI

PRI
- coins
  - No Restriction
- currency
  - upto a limit
    - notified by RBI

Temporary Residents
- can hold foreign currency
  - without any restriction
    - acquired while residing outside
    - declared to customs

Forms of Business – Conducted by a Foreign Co. in India

- Incorporate a Company
  - Registered with the Companies Act, 2013
    - → Joint Venture (Maruthi Suzuki)
    - → Wholly owned subsidiary (Google India)
- Set up offices
  - liaison office
    - communication channel (Mitsubishi (Trading Co.))
  - Branch office
    - Busines activities (Apple Inc.)
  - Project office
    - Specific project (Samsung C&T – Bangalore Airport; Delhi Metro)

Foreign Direct Investment (FDI)

FDI Policy — issued by:
- D - Department for
- P - Promotion of
- I - Industry and
- I - Internal Trade
- Ministry of Commerce & Industry

Meaning

PROI — Investment in Business — India

- New establishment
- Stake in existing Co.
- Joint venture
- Merger / Acquisition

having significant influence

foreign Direct Investment

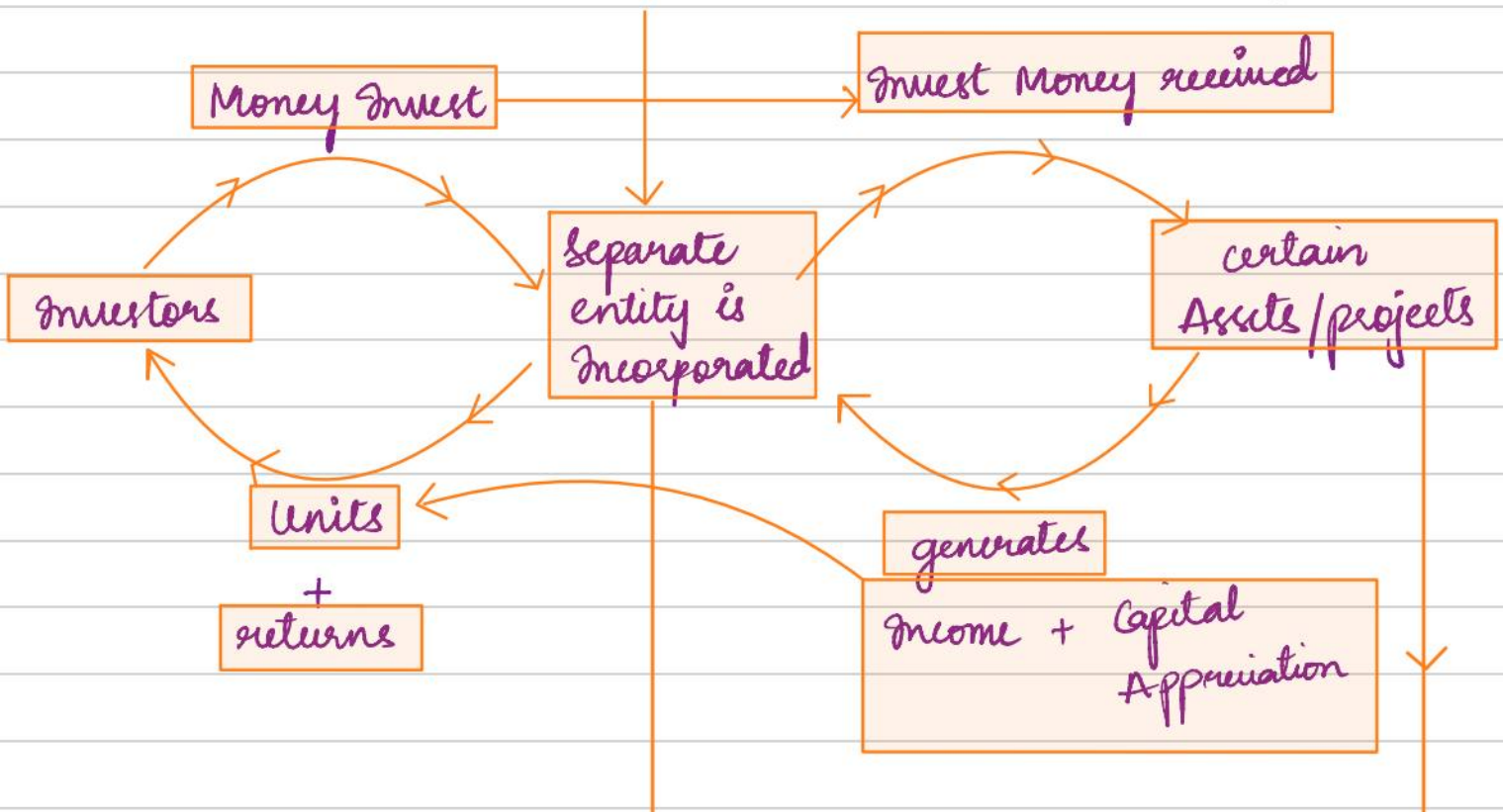
As per Master Directions

- Foreign Direct Investment
  - Investment by Non-Residents in
    - Unlisted Indian Company
    - At least 10% of listed Co. Equity Capital on fully diluted basis
      - FDI status is maintained even if the investment falls below 10% later on.
    - Less than 10% of
      - post-issue paid up Equity Capital on fully diluted basis of listed Indian Company
      - each series of Capital Instruments
- Foreign Portfolio Investment

Investment Vehicle

Meaning

entitities used by → Investors → to invest their Money → in different types of Assets / projects



Shall be Registered with SEBI.

1) Real estate Investment Trusts (REITs) – Real estate projects

2) Infrastructure Investment Trusts (InvITs) – Infrastructure projects

3) Alternative Investment Funds (AIFs) – Private Equity Hedge funds any sector

Venture Capital Fund (VCF)

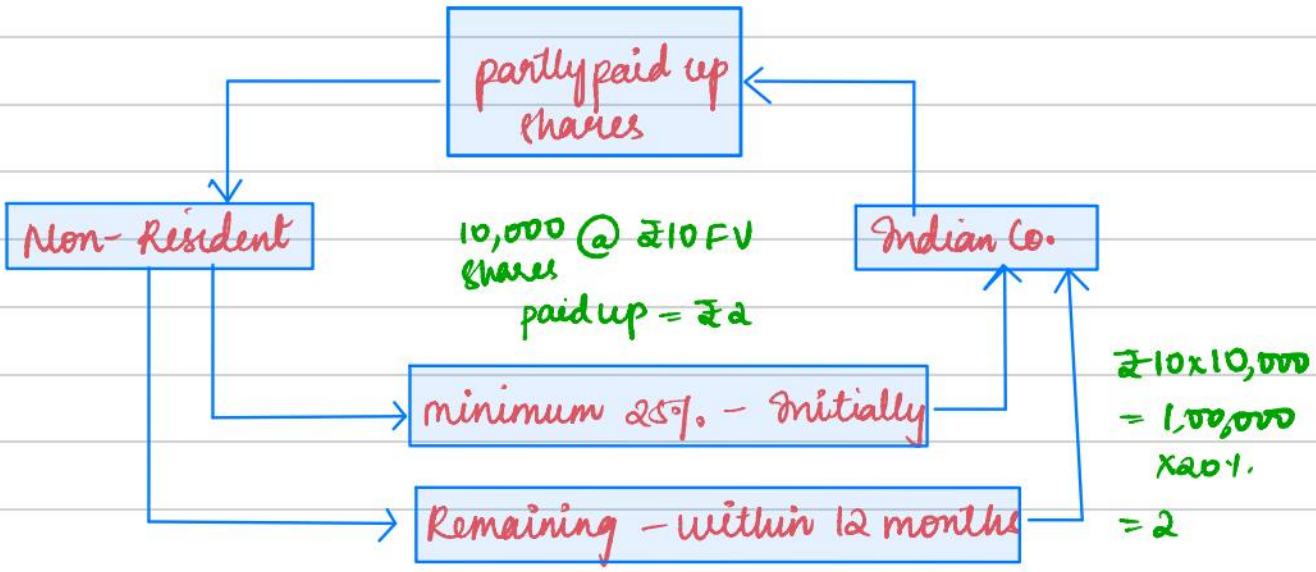
early stage projects / start-ups

Capital Instruments

- Equity shares
- debentures
- Preferance shares
- Share Warrants

FDI issues Regulatory compliances on managing Capital Instruments

like ↓



Prohibited Sectors

1. Lottery Business
   - Private / govt. / online
2. Gambling & Betting
   - + Casinos
3. Chit funds
   - except NRI/OCI on Non-Repatriation Basis
4. Nidhi Companies
5. Real-estate Business
   - + Construction of farm houses
6. Trading in TDRs (Transferable Development Rights)
7. Manufacturing of Cigars, Cigarettes, Tobacco etc
8. Activities/Sectors Not open to private sector investment
   - Atomic energy
   - Railway Operations

9 Investments by citizens or entities from Bangladesh & Pakistan with prior government approval

10 Citizens/entities from pakistan can invest in

Never
- defence
- space
- atomic energy
- prohibited sectors

Others sectors with prior government approval

Entry routes

Automatic Route
foreign Investors
do not Require Approval of
Government or RBI
- should Comply with Sectoral caps.

Government Approval Route
Investments under this route
Require approval of Government

Sectoral Caps — Maximum foreign Investment → "Allowed" → in that sector/activity in India

Example:

- foreign Investment in
  - Non-NBFC Companies → Requires govt. Approval
  - NBFC → 100% Automatic Route
    - registered with RBI

Permitted Investments

Permitted to

1. Purchase/sell/subscribe Capital Instruments → of an Indian Co.
2. Buy FPI
3. Buy NRI/OCI → on repatriation basis.

Purchase/sale Capital Instruments → of a listed Indian Company

Permitted to

4 Units of → Mutual Funds, RITs, InvITs, AIFs

Capital Contribution to
- Partnership firms
- Proprietary Concern
- LLP

by NRI/OCI on Non-Repatriation Basis

Permitted to

5 Purchase/sale → securities other Capital Instruments

6 Investment in LLP

7 Investment in Investment Vehicle

8 Investment by (FVCI).

9

Indian company is Permitted to

↓

Issue / transfer

↓

eligible instruments to

↓

foreign Depository

↓

Issues Depository Receipts

(ADRs) (GDRs)

↓

foreign Investors

↓

can buy these in foreign stock exchanges

10

foreign Company is Permitted to

↓

Issue / transfer

↓

eligible instruments to

↓

Indian Depository

↓

Issues Indian Depository Receipts

(IDRs)

↓

Indian Investors

↓

can Purchase / sale in Recognized stock exchange.

Pricing Guidelines

Listed Indian Company

price should not be less than

- Normal listed Co.
  - worked out as per SEBI guidelines
- Co. going through Delisting
  - as per
    - SEBI (Delisting Equity Shares), Regulations 2009

Unlisted Indian Company

valuation shall be done

as per

Internationally Accepted Pricing guidelines

on Arm's length Basis

Valution Report

Certified by

→ (CMA or CA) in practice

(OR)

→ SEBI Recognized Merchant Banker

Convertible instruments

Price or Conversion formula

shall be fixed at the time of issuance

At the time of conversion

Pere-determined Conversion Price

≠

fair value of price at the time of issuance

Calculation of foreign Investment

a) Equity holdings
- due to debt conversion
  - part of foreign Investment

b) FCCBs & DRs
- (debt instruments)
  - Not part of foreign Investment

c) Methodology of Calculation of foreign Investment
- is applied at every stage of Investment in Indian Companies

Investment
- Indian Co.
  - downstream Investment
    - WOS in India
- Non Resident
  - (x)% of Equity

d) maximum foreign Investment (x)%

e) Value of foreign Inv. calculated on 31 March

Conditions to Exit

Exit from a foreign JV → first → Indian Partner

Indian Partner → If he refuses → third party

third party → Pricing guidelines shall be followed

Indian Company

- with foreign Investment
- Holding shares of another Indian Company
- owned & controlled by PROI

→ if it transfers shares to

- PRI → → Pricing guidelines shall be followed
- PROI → → Pricing guidelines will not apply
  → → Report using FCTRS

Foreign Currency transfer of Shares

Liberalised Remittance Scheme

All Resident Individuals including Minors

can remit upto USD 2,50,000 in a Financial Year

for permissable Current & Capital Account Transactions

Not available for Corporate, firms, HUFs, Trusts etc.

Introduced on 4th February, 2004 with USD 25,000

Prohibited Remittances / items

a) Remittance for purposes

- prohibited
  - Schedule I
- Restricted
  - Schedule II

under Foreign Exchange Management (Current Account Transactions) Rules, 2000

b) Remittances for → Margins or Margin calls → to overseas exchanges / parties

c) Purchasing → FCCBs → issued by Indian Company → in overseas secondary Market.

d) Trading in foreign exchange abroad.

e) Capital A/c remittances → countries → "Non-Cooperative countries & territories" → by → "Financial Action Task force"

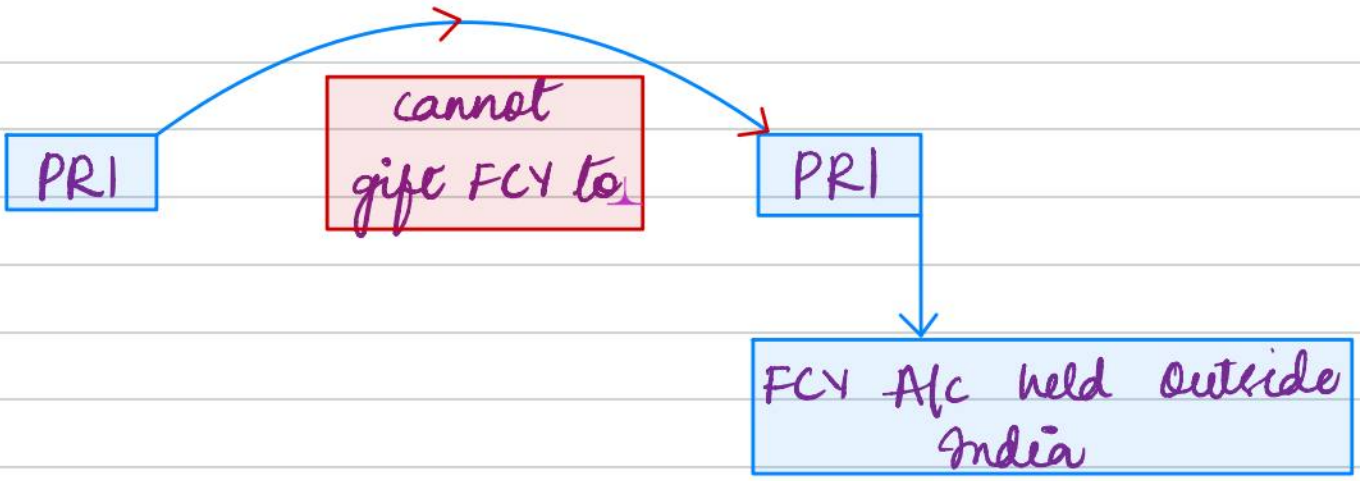
f) Remittance → to → Individuals / Entities → Identified as posing significant → "terrorism risks" → Advised by RBI.

Permissible Uses of LRS

1. Private visits to any country
   - Except Nepal & Bhutan
2. Studies Abroad
3. Gifts or donations
4. Expenses for Medical treatment abroad
5. going abroad for employment
6. emigration
7. Travel for business, conferences, training, medical expenses, attendant to a patient going abroad.
8. Maintenance of close Relatives abroad
9. any other current A/c transaction not defined under FEMA, 1999.

Consolidation of Remittances of family Members

- for Capital A/c Remittances → No
  - Exception: unless if acting as co-owners or partners.
- for other Remittances → Yes



Bank Procedures for LRS

- Choose a branch of Authorized Dealer Bank
  - Open an Account
    - for Capital A/c Transactions
      - A/c must be maintained with bank for at least 1 year
        - before making any Capital A/c Remittance
    - for other remittances
      - can remit immediately

Can be made in any freely convertible FCY.

Do's and Don'ts by Authorized dealer

✓

- Must Verify the source of funds
- Ensure due diligence in Capital A/c Remittances
- Ensure the genuineness of transactions

✗

- cannot extend fund or non-fund based facilities for:
  - Capital A/c Remittances
- cannot conduct transactions prohibited / restricted by RBI's approval.

Remittance by Sole Proprietor

No legal separation

limit of USD 2,50,000 is shared for

Business + personal

if owner remits → USD 2,00,000 → personally

personally → no remittance available → for business purposes

Facilities for entities other than Individuals

1 Donations

Amount:

whichever is lower

1% of foreign exchange earnings in the previous three FYs

or

USD 5,000,000

For the following –

- Creation of chairs in reputed educational institutions
- Contribution to funds promoted by educational institutes
- Contribution to technical institute or body in donor's field

2.

Resident entity

through "Agent"

Non-Resident

Residential flats / commercial plots in India

Sale ✓
Inward Remittance

Commission of:

- to Agent residing outside

5%

or

USD 25,000

whichever is less per transaction

3 Remittances

upto USD 10,000,000 per project for consultancy services related to Infrastructure projects

upto USD 1,000,000 per project for other consultancy services

procured from outside India

4 Investment

Indian Company ← Non-Resident

Reimbursement of Pre-Incorporation Expenses

5% of Investment OR USD 100,000 whichever is less

5 Remittances upto USD 2,50,000 per FY

Schedule III of Current A/c transactions.

Rupee loan

Resident

NRI | PIO

(Close relative)

crossed cheque / electronic transfer

Interest Free

Minimum Maturity

One Year

within the overall LRS limit per FY.

loan amount shall 'NOT' remitted outside India

The loan must be credited to

Non-Resident Ordinary (NRO) A/c

Uses of loan Money

Personal purposes in India

Yes

Business purposes in India

Yes

Activities in which foreign investment is prohibited

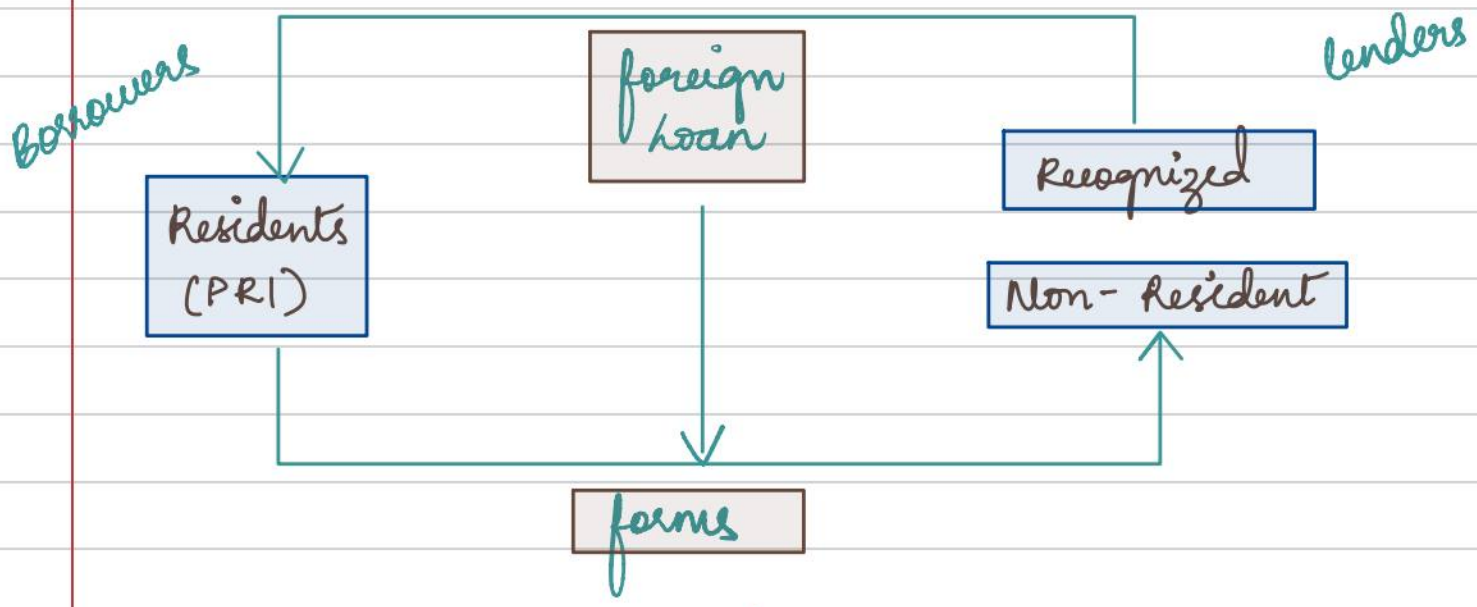
No

Rupee gift — NRI/PIO — within the overall LRS limit per FY. — permitted

External Commercial borrowings (ECB)

loans taken for commercial purposes from Outside India

Business - Related activities



External Commercial Borrowings

are commercial loans raised → by Resident entities → from Recognized Non-Resident entities

and should conform to parameters such as

- Minimum Maturity
- Permitted / Non-Permitted End Uses
- All-in-cost ceiling etc

ECB FRAMEWORK

	FCY denominated ECB ↓ (Amount borrowed in the form of foreign currency)	INR denominated ECB ↓ (Amount borrowed in the form of Indian currency)
a) Forms (Mode)	1. Loans + Bank loans 2. Floating / fixed rate Notes + Bonds + debentures 3. Trade credit beyond 3 years 4. FCCBs + FCEBs 5. Financial lease	1. Loans + Bank loans 2. Floating / fixed rate Notes + Bonds + debentures 3. Trade credit beyond 3 years 4. Financial lease
b) Eligible Borrower	All entities eligible to receive FDI. check → Sectoral caps → Entry routes → Permitted / Prohibited → Investor status	All entities eligible to raise FCY ECB and Micro finance & Non-Profit Org.

c) Recognized Lenders

1. Resident of
   - FATF — Financial Action Task Force
   - IOSC — International Organization of securities Commission
   - → Compliant Country

2. Multilateral & Regional Financial Institutions
   - → where India is a Member

3. Foreign Branches or subsidiaries of Indian Banks
   - → only FCY - ECB
   - → (Not FCCB & FCEB)

---

d) Minimum Average Maturity Period (MAMP) – 5 years

Average time period — over which — the loan must be Repaid.

(o. A (Indian (o.)

loan 1	loan 2
$ 50 million	$ 30 million
5 years MP	8 years MP.

$$MAMP = \frac{(50\text{ million} \times 5\text{ years}) + (30\text{ million} \times 8\text{ years})}{50\text{ million} + 30\text{ million}}$$

e) All-in-Cost Ceiling

Maximum allowable cost → for raising funds → through ECB

Includes:
- Interest Cost
- \+ Upfront fees
- \+ Other fees. etc

does not include:
- default Interest
- \+ Penalty. etc

f) End Uses of ECB

- Negative list
  - Real estate activities
  - Investment in Capital Market
  - Equity Investment
  - Working Capital purposes
  - General Corporate purposes
  - Repayment of Rupee loan
  - On-lending to entities for above activities, except in case of NBFC.

Limit & Leverage

All eligible borrowers → can raise ECB → upto USD 750 million in a FY

→ under automatic Route

ECB denominated in FCY ← Foreign Equity holder

→ Liability : Equity

→ Cannot exceed

→ 7 : 1

→ under automatic Route

Parking of ECB Proceeds

Meaning

temporary holding or placement of funds → before they are utilized for their intended purposes.

Parking of ECB Proceeds Abroad

- for foreign Currency expenditure
- parked abroad
- can be invested in "Specified liquid Assets"

Parking of ECB Proceeds domestically

- for Rupee Expenditure
- should be repatriated immediately to
  - Rupee A/c — AD category I Banks
- Can be parked in
  - term deposits — AD category I Banks
  - Maximum Period — 12 Months cumulatively

Procedure for Raising ECB

Automatic Route

if they meet all the parameters of ECB framework

Approval Route

if NOT — require approval of RBI

Reporting Requirements

Borrower is required → to report ECB transactions → on monthly Basis

→ to AD Category I Banks in form ECB 2

Untraceable Entity

Definition

Entity, Auditors, directors, promoters of the entity → are not reachable or responsive or reply negatively → over E-mail, Letters, phone

→ for a period of not less than "two Quarters"

→ with documented Communication/ Reminders

further conditions

- Not found to be operative at Registered office address
- have not submitted the "Statutory Auditors" Certificate for the last 2 years or more

Consequences for Untraceable entities

- File Revised ECB form 4
  - Last ECB-2 form
    - with
      - "Untraceable entity"
      - written in bold on top
- Outstanding Amount
  - willbe
    - written off from
      - the external liability of the country
- No fresh ECB application by the entity
- No inward remittance or debit service
- ED shall be informed

Refinancing of ECB

Conditions for Refinancing

- Outstanding Maturity
  - Refinancing should
    - Not Reduce
      - outstanding Maturity
        - of original ECB
- All-in-Cost
  - of New ECB
    - should be less than
      - weighted Average all in Cost of existing ECB

Trade Credit

Credit extended by

- Overseas suppliers
- Banks, financial institutions
- other permitted lenders

for import of

Capital / Non-Capital Goods

permissable under foreign trade policy of

Government of India